London Business School

Mergers, MBOs & Other Corporate Reorganizations

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Paramount/Netflix/WB Continued

NETFLIX

WARNER BROS. DISCOVERY

Paramount

- Feb 10: Paramount sweetens takeover offer for Warner Bros DiscoveryCosts of financial distress
  - Media group adds ‘ticking fee’ to give shareholders additional payment for every quarter deal does not closeIndirect
  - WBD investors would receive extra quarterly payments should the deal fail to close by the end of 2026, effectively shifting some regulatory risk back on to Paramount.

- The company said the enhanced proposal underscores its confidence in securing approvals and improves certainty for shareholders, as antitrust scrutiny of mega-media combinations intensifies on both sides of the Atlantic.

Warner Bros. Is Said to Consider Reopening Talks With Paramount

Warner Bros. Discovery had agreed to sell itself to Netflix, but its contract allows it to pursue offers that may lead to a superior deal.

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- Warner Bros. Discovery's board is considering whether to reopen sales talks with Paramount Skydance following its amended bid for the company, Bloomberg reported, citing unnamed sources.

- Both Paramount and Netflix have made bids on Warner Bros., which would include its film studio and HBO Max streaming service.

- This is the first time Warner Bros. is considering whether Paramount's offer may lead to a better deal or prompt Netflix to up its offer, according to Bloomberg.

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Session 6:

Dealing with Financial Distress

Overview of class

- Financial distress
- Costs of financial distress
  - Direct
  - Indirect

- Resolving financial distress
- Debt restructuring
- Bankruptcy
  - Reorganization
  - Liquidation

“How did you go bankrupt?” Bill asked.
“Two ways,” Mike said. “Gradually, and then suddenly.”

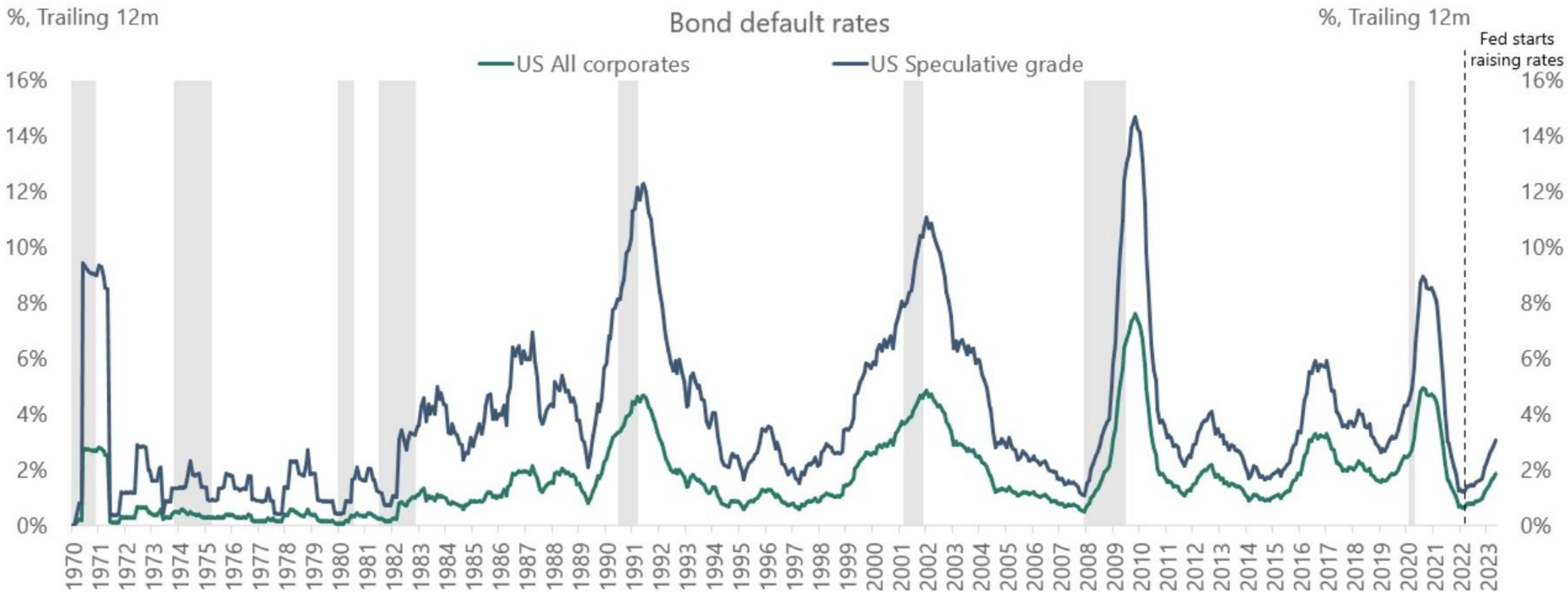
- Ernest Hemingway, *The Sun Also Rises*

How does a firm become financially distressed?

- Business deteriorates…
  - Industry/economic/regulatory/litigation shock, bad management, etc.

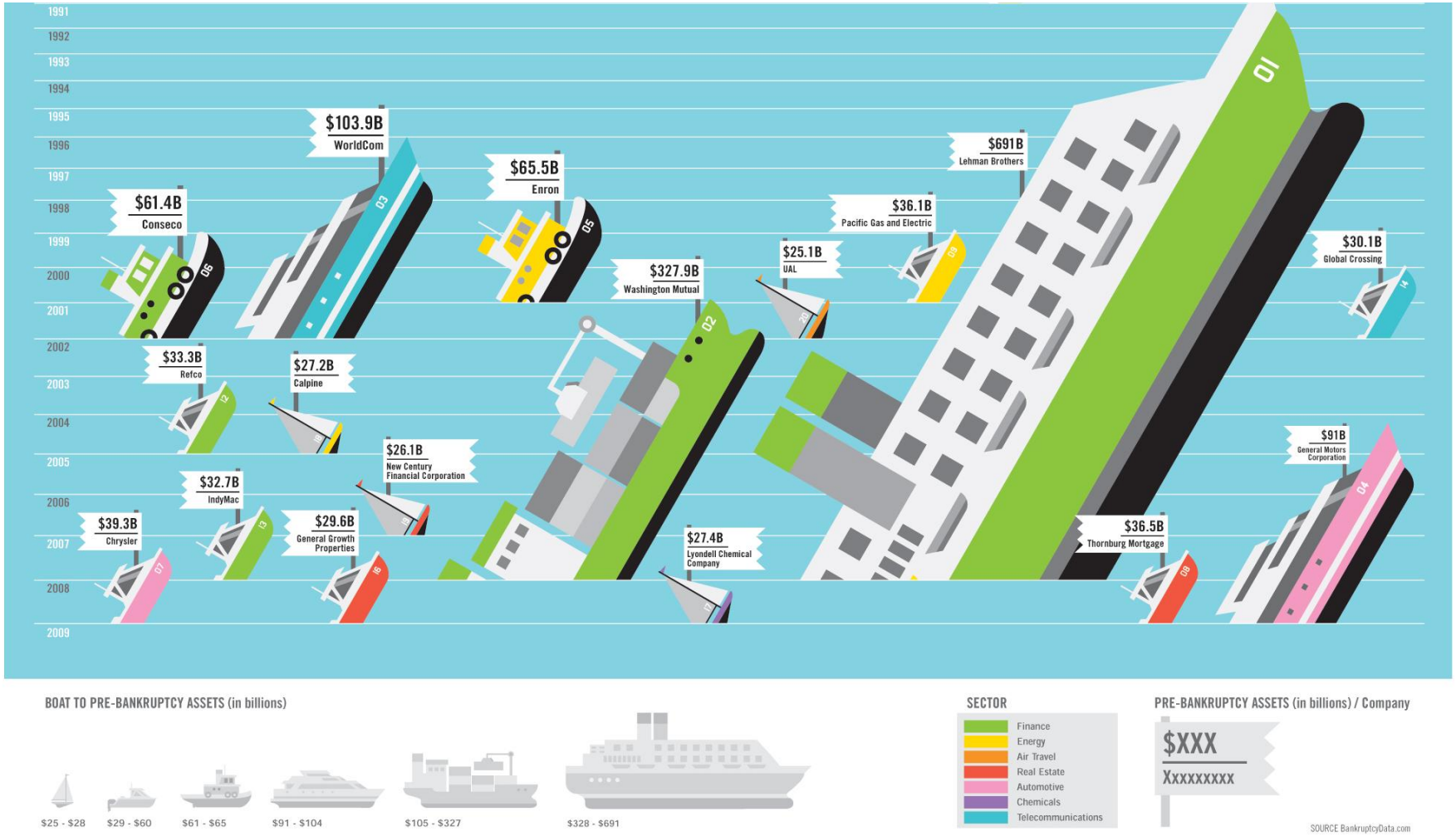
- Until…
  - Covenant violations
  - Liquidity issues (can’t make payments)
  - Loss of suppliers, customers, partners,…
  - Solvency issues (BV liabilities > MV assets)

US corporate default rates



Source: Moody's Analytics, Apollo Chief Economist

Largest Bankruptcies, 1991-2009



What are the costs of financial distress?

- Direct costs, indirect costs of financial distress

- Direct costs:
  - Legal fees, accounting experts, consultants, investment banks, etc…
  - Estimates suggest direct costs of bankruptcy average about 3-4% of the pre-bankruptcy market value of total assets (larger % for small firms)
    - Enron (2001): $30 million per month on legal fees – total cost exceeded $750 million.
    - Lehman (2008): total bankruptcy costs estimated at $6 billion (Fed)

Direct costs of financial distress

Bloomberg: Lehman Bankruptcy Advisers' Fees Top $2 Billion (January 31, 2013)

Lehman Brothers Holdings Inc., which is still liquidating after exiting court protection last year, ***paid advisers and managers $153.8 million in December, putting total fees over the $2 billion mark*** *in the more than four years since it filed for bankruptcy.*

December's outlays included $84 million in incentives for a plan that will pay ***creditors*** *an average of* ***18 cents on the dollar****, according to today's filing in U.S. Bankruptcy Court in Manhattan. Restructuring firm* ***Alvarez & Marsal LLC****, which runs the defunct investment bank, has made almost* ***$583 million*** *so far, including incentive payments. Lead bankruptcy law firm* ***Weil, Gotshal & Manges LLP*** *has earned* ***$454 million****.*

Direct costs of financial distress

Service	Investment Bankers	Crisis Managers	Accountants
M&A	●	◔	○
Capital Raising	●	◔	○
Valuation	●	◔	○
Debt Capacity/Capital Structuring	●	◔	○
Negotiation with Creditors	●	◑	○
Financial Modeling	●	◕	◕
Liquidation Analysis	●	◑	●
Bankruptcy Court Testimony	●	◑	◔
Strategic Business Analysis	◕	●	◔
Analysis of Financial Controls	○	●	●
Day-to-Day Business Analysis	○	●	◔
Audits	○	○	●
Pension Issues	○	○	●
Financial Reporting	○	○	●
SEC and Bankruptcy Court Operate Plants or Business	○	◕	○
Hire, Fire, or Manage Employees	○	●	○
Sell Company's Goods or Services/Collect Receivables	○	◔	○

FIGURE 4.1 Roles of Professionals in Chapter 11 Cases
Source: Lazard.

What are the costs of financial distress?

- Indirect costs
  - Loss of suppliers, loss of employees, loss of customers, fire sales of assets, etc…
  - “Risk shifting”, “Debt overhang”
  - Andrade and Kaplan (1998): potential loss of value due to financial distress is 10-20% of firm value.

Direct and Indirect CFD

Financial distress distorts incentives

Case 1: **Risk Shifting / Asset Substitution**

- Suppose debt=£50, cash=£10
- Firm is expected to file for bankruptcy soon
- New project: invest £10; receive £0 now (prob=95%) or £100 now (prob=5%)
- *Will the debtholders want the firm to invest?*
- *Will the stockholders want the firm to invest?*

Financial distress distorts incentives

- What is the NPV of the project?
- What is the value of equity:
  - When project succeeds?
  - When project fails?
- What is the value of debt:
  - When project succeeds?
  - When project fails?
- *Bottom line: equity holders gain at the expense of debt holders.*

“Real-life” example of risk shifting: FedEx

- Frederick Smith of FedEx (CEO and founder) in the early days of FedEx took the company's last $5,000 to Las Vegas
- Gambled (blackjack) to cover the company's debt (fuel bill) of $24,000

Financial distress distorts incentives

"Real-life" example of risk shifting: FedEx

"I asked Fred where the funds had come from, and he responded, 'The meeting with the General Dynamics board was a bust and I knew we needed money for Monday, so I took a plane to Las Vegas and won $27,000.' I said, *'You mean you took our last $5,000— how could you do that?' He shrugged his shoulders and said, 'What difference does it make? Without the funds for the fuel companies, we couldn't have flown anyway.'* Fred's luck held again. It was not much, but it came at a critical time and kept us in business for another week."

Risk Shifting in Practice

- Example: Savings and Loan (S&L) crisis in the 1980s
- S&Ls are banks with primarily mortgage loans as assets and primarily deposits as liabilities
- Early 1980s saw a combination of bad conditions for these banks
- Many S&Ls took on risky loans that would destroy capital if they went badly, but would save the firm if they paid off

Case 2: **Debt Overhang / Under-Investment**

- Too much debt can prevent a company from raising new funds to finance new (pos. NPV) investments. This leads to *under-investment*.
- The equity holders may refuse to raise the new funds because outstanding risky debt becomes less risky with the new equity. Why? Because leverage is reduced, the debt becomes less risky and rises in value. Gains to debtholders are at the expense of existing equityholders.
- These conflicts between equity and debt holders can be resolved by debt and equity agreeing to restructure the debt.

Financial distress distorts incentives

- Suppose a firm has a significant amount of risky debt outstanding (it is not insolvent)

- Suppose a project comes along, which has a positive NPV, and needs be financed with new equity.

- Shareholders would like to take it, right? Maybe not!

- Firm CF is $100 (p=50%) or $10 (p=50%) next year; Debt outstanding & due next year = 30
- No taxes, no discounting

- Firm value = 0.5*100 + 0.5*10 = $55
- Debt value = 0.5*30 + 0.5*10 = $20
- Equity value = $35

Financial distress distorts incentives

New project: you can invest $10 to get a certain return of $12.

- Firm CF next year with new project = 0.5*100 + 0.5*10 + 12 = $67
- Debt value with new project = 0.5*30 + 0.5*(10 + 12) = $26 (higher!)
- Equity value with new project = $67 - $26 - $10 = $31 (lower!)

What happened?

- The value of the project went to the old debt holders.
- This phenomenon is called debt overhang. Positive NPV project not taken.
- It can be addressed by renegotiating with the old debt holders.

Financial distress distorts incentives

Debt overhang could be addressed by *renegotiating* with debt holders

- Example: debt write-off of 9. Face value goes from 30 to 21.
- Do project.
- Can we do the new positive NPV project now? *Yes*
- Debt value with new project = 0.5*21 + 0.5*(10 + 11) = $21 (>20 → higher!)
- Equity value with new project = 0.5*(100+12-21) + 0.5*(10+12-21)-10= $36 (> 35 → higher!)

Example 3: Debt Overhang

"Addressing the nearest-term maturity removes an overhang in a challenging market environment and provides the company a clear and more confident path to execute its business plan,"

-JCrew Statement

Can one predict financial distress?

- Option pricing measures (distance to default)
- Credit ratings
- Altman's Z-score

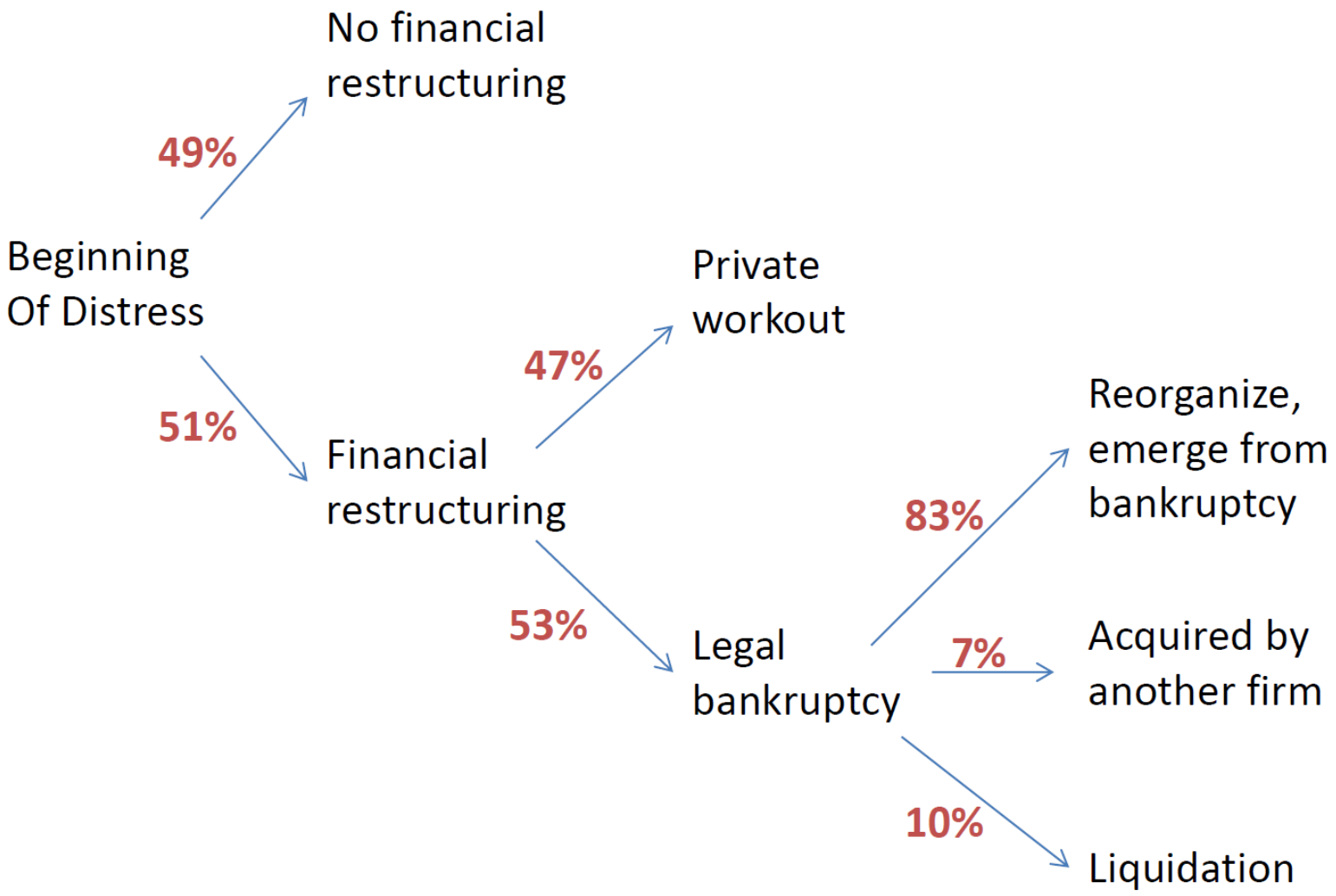
$$Z = 1.2\,X_1 + 1.4\,X_2 + 3.3\,X_3 + 0.6\,X_4 + 1.0\,X_5$$

  - X_1 = Working capital / assets
  - X_2 = Retained earnings / assets
  - X_3 = EBIT / assets
  - X_4 = MV of equity / BV of liabilities
  - X_5 = Sales / assets
- $Z > 2.67$: distress unlikely
- $Z < 1.81$: distress likely

Can Trade-Off Theory Explain Patterns?

Factors that:	
Increase leverage	Decrease leverage
• Fixed assets • Asset tangibility • Firm size	• Volatility of earnings • High brand or human capital value • Probability of bankruptcy • Uniqueness of product • Investment opportunities

What happens to distressed firms?



Source: Wruck (1990), Weiss (1990), others.

Private workouts

- Lenders and firm agree to restructuring plan (see: Preem case)
  - For example, bondholders might agree to exchange their 5% coupon debt for 4% coupon debt and an extension in maturity
  - Debt-for-equity swaps
  - In some cases, outright debt forgiveness
- No court involvement
- Quicker and less costly than bankruptcy
- But, there is often a “hold-up” problem

Types of concessions

- Lender concessions
  - Debt forgiveness
  - Debt-for-equity swaps
  - Extension of maturity
  - Changes to interest rate or payment frequency
  - New debt issuance

- Borrower concessions
  - Asset sales / accelerated debt repayment
  - New equity infusion

Why concede?

- Lenders
  - They want equity to invest, but are aware of debt overhang
  - Bankruptcy is time-consuming and costly

- Borrowers
  - If lenders also concede, can gain from new equity
  - Maintain control rights
  - Management wants to keep their jobs

Types of bankruptcy

- US
  - Chapter 11 – company remains a going concern
  - Chapter 7 – liquidation
- UK
  - Liquidation
  - Administration
- Europe – varies by country

Bankruptcy Basics

- Bankruptcy is a legal procedure for enforcement or renegotiation of debt contracts that are in default

- In the U.S., a company that has entered bankruptcy gets *automatic stay,* i.e. temporary relief from creditor actions

- Bankruptcy can also be
  - Voluntary = debtor seeks protection (i.e., firm files for protection in a bankruptcy court)
  - Involuntary = creditors file a petition

  (rare, usually the debtor files first)

Chapter 7

- Court appoints trustee to shut down the firm
- Asset are sold for cash
  - Typically in an auction
  - Entire business can be sold, or assets can be sold individually

Problems with Chapter 7

- “Fire sale” concerns
- Reduces seller’s bargaining power
- Natural buyers may be unable to finance purchase
  - If firm is liquidated in piecemeal fashion, value of intangible assets (e.g., employees) is lost

Chapter 11

- File bankruptcy petition
- Firm's exclusivity period: 120 days / 18 months
- Voting
  - For each impaired class, 2/3 in value and 50% in number of votes received must vote "yes"
  - Unimpaired/fully impaired classes cannot vote
  - "Cram down" rule: judge can approve plan even if one creditor class votes against the plan
- Process takes 1-2 years to complete
- Administrative fees normally 2-5% of firm assets

What can management do?

- Continue to operate the business
  - “First-day” motions typically allow firm to continue paying suppliers, keep customer programs in place, pay wages, KEIPs
- Obtain new financing
  - “Cash collateral” financing
  - Debtor-in-possession (“DIP”) financing
  - “Priming lien” places DIP lender first in line
- Break unprofitable contracts/leases
- Sell assets (Section 363 sales)

Automatic stay

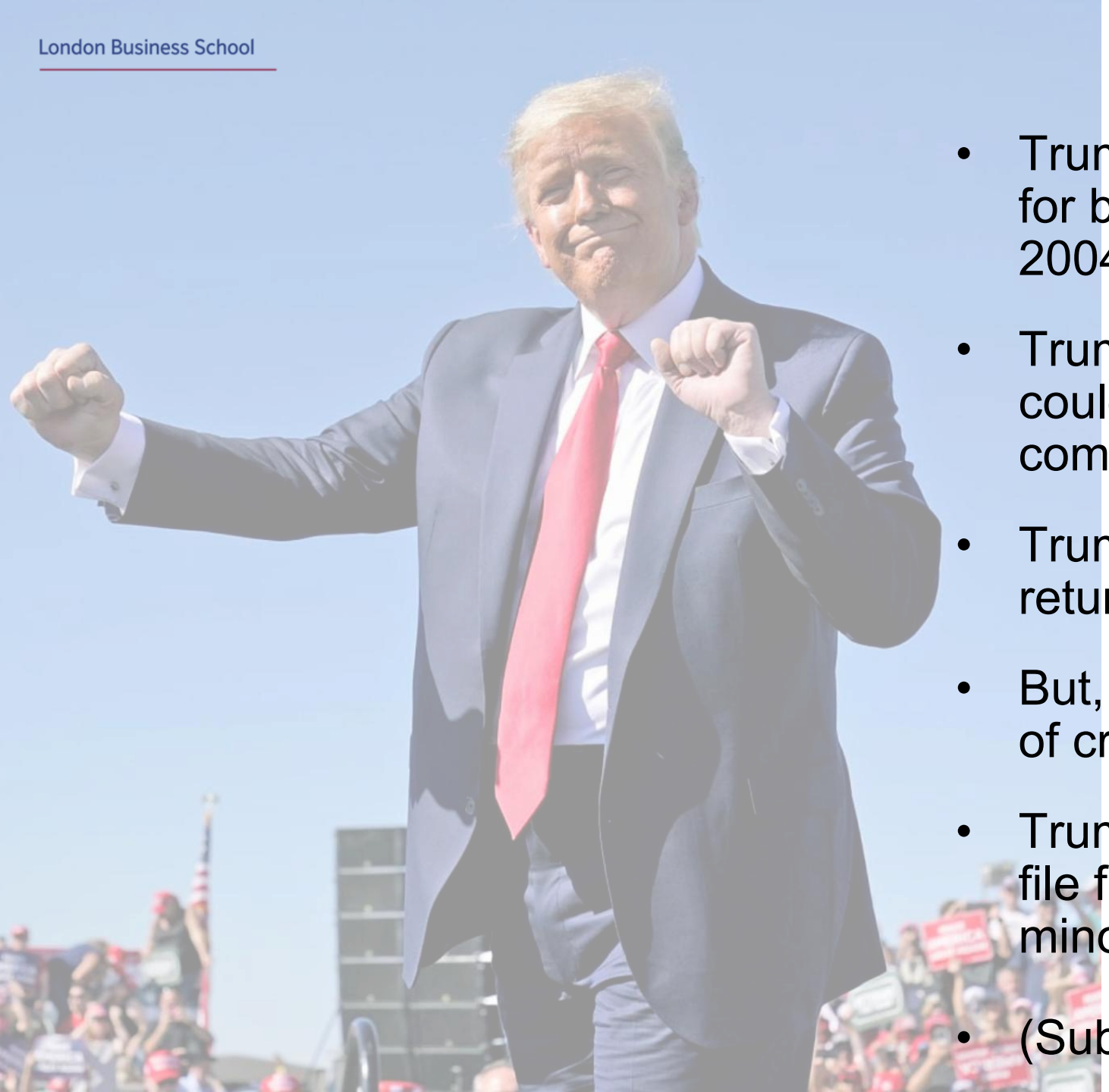
- All lawsuits and pre-petition claims against company are halted for at least 180 days
  - For example, if firm has defaulted, bondholders cannot just seize control of the firm
  - Typically, interest/principal payments are halted
- Stay applies worldwide; not restricted to US
- But exceptions exist
  - Repo, derivatives
  - Certain new lawsuits

Absolute priority rule (APR)

- (1) Secured, (2) Administrative, (3) Employee, (4) Trade, (5) Tax, (6) Unsecured, (7) Equity
- But, deviations are common
  - APR deviation: lower priority creditor or shareholder receives a portion of the company's assets in a reorganization plan, even though higher priority creditors have not been fully paid
  - Creditors may waive their priority rights
- Why?
  - Bankruptcies are expensive
  - Differing incentives
  - Exit plan is subject to judicial, not market, constraints

“Pre-packed” bankruptcies

- Ch. 11 bankruptcy where debtor negotiates and secures creditor approval of a restructuring plan *before* the filing
- Growing popularity since 2000s
- Advantages
  - Faster (30-90 days vs 1-2 yrs for regular Ch.11)
  - Lower costs
  - Less operational disruptions
  - Automatic stay
  - Binding on dissenting creditors, can impose haircuts on holdouts via cramdown



Trump Casinos, 2004

- Trump Hotels & Casino Resorts, Inc. filed for bankruptcy protection in November 2004
- Trump's leverage was too high; company couldn't invest to keep up with competitors → *Debt overhang*
- Trump agreed to give up 20% of equity in return for debt forgiveness, rate decline
- But, hold-up problem occurred – small % of creditors did not agree to new terms
- Trump and most bondholders agreed to file for bankruptcy → cram-down of minority class
- (Subsequent bankruptcy filing in 2009)

LATAM AIRLINES

Latam Airlines

LATAM AIRLINES

Latam Airlines

- Latam Airlines, the largest airline in Latin America filed for Chapter11 bankruptcy in the US
  - Had $10.4 billion in debt
  - Could not meet interest payments

- Company was profitable before the pandemic
  - But COVID-19 led to a stop of most flights
  - In June 2020, Latam was operating at 5% of capacity

- To survive, the company needs:
  - To restructure the debt
  - New capital

Latam Airlines

- Latam: result of merger between Lan Chile and Tam

- Lan Chile
  - Founded in 1929 by the Chilean government
  - Privatized in late 1980's and early 1990's
  - One of the initial owners (Cueto) still has a significant stake
  - Another of the initial private owners (Piñera) is the currentpresident of Chile
  - ADRs traded in the NYSE since 1997
  - Joined Oneworld in 2000

Latam Airlines

- Tam Brazil– Founded in 1976 by Rolim Amaro
  - In 1996, bought Lapsa from the Paraguyan government andformed Tam Mercosur
  - Started trading in São Paulo in 2005 and in the NYSE in 2006
  - Joined Star Alliance in 2010

- In 2010, Lan and Tam announced a merger.

Latam Airlines

- Prior to the merger
  - Lan had a market cap of $9 billion
  - Tam had a market cap of $4 billion
  - Estimated synergies of $600 million over 4 years– Estimated transaction/integration costs $200 million

- Merger concluded in 2012
  - Latam Airlines became second largest airline in the world bymarket cap ($12billion), behind China Airways

Latam Airlines

- Following the merger things did not go according to plan
- Merger integration was more difficult than anticipated
  - “When two large groups merge, they take a lot of time to understand themselves internally.”
- Bad luck
  - Oil prices went up
  - Devaluation of the real relative to the dollar
- Between 2012 and 2013, Latam lost 1/3 of its market capitalization

Latam Airlines

- Deep restructuring process in 2016
- Qatar Airways purchased 10% stake in 2016
- Delta Airlines purchased 20% stake in 2019 for $2 billion
- By 2019, largest owners were:
  -21% Cueto family group
  -20% Delta Airlines
  -16% Chilean Pension Funds
  -10% Qatar

Latam Airlines

- The company employed about 42k people
- Fleet comprised of 340 airplanes
- Average of 162 flights per day– 145 destinations in 26 countries
- In 2019 transported 74 million passengers
- Cargo business
  - Accounted for about 10% of revenues [Ex. 6]
  - Use of cargo holds on passenger planes + freighter planes
  - 152 destinations in 29 countries

Latam Airlines

- Revenues of $10 billion
- Net profits of $196 million
- Debt of $10.4 billion
- Debt-to-asset ratio of 85%– More than other airline companies (e.g., 76% and 62% for Delta and Southwest, respectively)

Latam Airlines

What is the difference for a company between filing for bankruptcy reorganization vs. filing for liquidation?

- Liquidation (Chapter 7): the company disappears• Reorganization (Chapter 11): the company is restructured to continue to operate

- The restructuring that takes place in Ch 11 is not only on the structure of liabilities.
  - It is also in terms of change in strategy/business model
  - Renegotiation of contracts and incentive structures

- Bottom line: Reorganization makes sense if company has liquidity problems but is viable in the long term.

Latam Airlines

- Latam was a viable company with a solid business pre-pandemic
- Some airline companies filed for Chapter 11 after September11 and recovered very well
- Latam Airlines was “too big to fail” – it is essential for the Latin American continent, especially for Chile and Brazil
- The economic value of the company exceeded the liquidation value of the assets, so it was not financial convenient to liquidate the firm.

Latam Airlines

- Chilean reorganization process was new and unproven (p.6)
- Latam is a company with a complex structure with many international subsidiaries, domestic and foreign shareholders, creditors, and suppliers.
- Efficient for the reorganization process to be centralized in one place.
- US had judges specialized in bankruptcy. Chile did not.
- Chapter 11 was a known and reliable procedure (recognized by Chilean courts)

Latam Airlines

- Why did Latam choose to file for bankruptcy in the US?

- Chapter 11 made it easier for the debtor to unilaterally cancel lease contracts pending execution
  - This is critical for Latam Airlines, because, like many airlines, asizeable fraction of liabilities is in the form of lease contracts [Ex. 8]

- Worldwide automatic stay

- US bankruptcy protection also allows debtors to bind foreign creditors tothe chapter 11 process.

Latam Airlines

- *Are there consequences of using US and UK bankruptcy proceedings for the development of local capital markets?*

- On the one hand, this specialization may be efficient– Chilean courts deal with local small/simple cases, US courts deal with large complex cases

- On the other hand, can lead to vicious cycle–
  - If Chilean courts are never exposed to this type of cases, they will never get the capacity to deal with such cases–
  - An efficient bankruptcy process is a crucial determinant of a well functioning capital market

Latam Airlines

- Company operated across many geographic markets giving it diversification benefits against local “idiosyncratic” shocks
  - This is similar to other large airlines and safer than smaller specialized companies

- Operating income (gross margin) was good

- However, leverage was relatively high (p.4)
  - Higher leverage is associated with higher vulnerability to negative shocks in the demand. Why?
  - Fixed repayment promises are hard to fulfill when revenues drop
  - The higher the level of debt, the higher the debt service promises

Latam Airlines

- What was Latan's greatest vulnerability at the onset of the pandemic?

	2019 - MUS $					
	Delta	**American**	**Southwest**	**United**	**Avianca**	**Latam**
Operating revenues	47,007	45,768	22,428	43,259	4,622	10,070
Operatin expenses	40,389	42,703	19,471	38,958	5,176	7,951
Operating (loss) income	6,618	3,065	2,957	4,301	-554	2,119
Gross margin	**14.08%**	**6.70%**	**13.18%**	**9.94%**	**-11.99%**	**21.04%**
Interest expense	301	1,095	82	646	300	564
Net (loss) profit fort he year	4,767	1,686	2,300	3,009	-894	196
Net margin	**10.14%**	**3.68%**	**10.26%**	**6.96%**	**-19.34%**	**1.95%**

	2019					
	Delta	**American**	**Southwest**	**United**	**Avianca**	**Latam**
Liabilities/Assets	0.76	1	0.62	0.78	1	0.85
Liabilities/Equity	3.2	-509	1.6	3.6	1,425	5.7
Operating income/interests	21.99	2.80	36.06	6.66	-1.85	3.76

Source: Exhibit 7

Latam Airlines

- While the company filed for Chapter 11, it may still end up being liquidated.

- Will it?
  - Depends on your view of the firm
  - Also on what the aviation industry will look like in the future

Latam Airlines

- How long do you believe it will take the global airline industry to return to2019 total revenue levels?
  - 6 to 12 months - 7%
  - 12 to 18 months - 19%
  - 18 months to 3 years - 44%
  - 3 years - 16%
  - More than 3 years - 14%
  - Don’t know – 1%

Source: “How top aviation leaders see the future of the airline industry” Forbes July 14, 2020

Latam Airlines

- How well prepared do you believe the airline industry was for the COVID pandemic?
  - Poorly prepared - 46%
  - Could not prepare for such a Black Swan event - 41%
  - Somewhat prepared - 12%
  - Very well prepared - 1%
  - Don’t know – 1%

Source: “How top aviation leaders see the future of the airline industry” Forbes July 14, 2020

Latam Airlines

- After September 11, 2001, there was a large drop in air travel demand
  - Airlines cancelled flights and kept planes on land for a while
  - But the industry recovered

- Is Covid-19 similar to 9/11?– 9/11 was a crisis of confidence and safety
  - To some extent, Covid-19 is too
  - However, the measures needed to restore confidence may be significantly different

Latam Airlines

- Re-evaluate optimal size and scope of networks and fleet
- Consider M&A and consolidation
- Pay closer attention to cash levels
- More conservative capital structure
- Less operational leverage (more flexible contracts)

- Indeed, Latam Airlines announced an organizational plan that includes, among other things, a reduction in size, fleet, and personnel.

Latam Airlines

- If you were the chief investment officer of an international mutual fund, would you invest in Latam Airlines through debtor in possession (DIP)financing?

- Distressed investing is a high risk-high return proposition

- The backdrop is:
  - Historically low interest rates
  - High volatility in equity markets (macro uncertainty about vaccine, rebounds, new variants, economic recovery, among others)

Latam Airlines

- On the positive side:
  - DIP gives priority to new investors
  - DIP loans have preference overall the other creditors, including secured loans
  - Covid recovery could allow the company to come back strong

- On the negative side:
  - Risks are still large
  - Airline industry has been one of the most affected industries duringthe pandemic
  - Some changes may be permanent (zoom vs. travel)
  - In bankruptcy, even DIP may bear losses.

Latam Airlines

- Debtor in Possession Financing Tranches

TRANCHES DIP	Interest	Conditions
Tranche A	Interest 12% - 14%	Payment preference over tranche C
Tranche B	Reserved for government aid	To be define
Tranche C	Interest 14.5%	Interest paid at the end of the process, and option to convert shares into equity

- Pros of tranche A:
  - Priority over tranche C
  - In fact, senior to all existing and new debt except for tranche B, which is reserved to the government
  - In case of no government assistance, tranche A would have absolute priority over all debt
- Pros of tranche C:
  - Higher yield
  - Convertible to equity (although not enough information on the case regarding conversion rate, so hard to know how much the warrants are worth)
  - Secured

Latam Airlines

- What about creditor rights in court?
- Contractual seniority (Latam: tranche A vs tranche C)
- Structural seniority (Preem: holdco debt subordinated to opco debt)
- Ranking of security (collateral rights)
  - Secured (Latam: tranche C) vs unsecured (Latam: tranche A)
  - First / second lien: priority of claims on a borrower's assets in the event of default or liquidation

- What about tranche B?
- This tranche needs to be carefully designed
- Why?
  - It affects the value of other tranches
  - if it is not well designed, it may scare away other investors
  - Must provide enough incentives for a government bailout
- Should the Chilean Government intervene?

- Government Financial Aid by Region

Regional variations

The $123 billion in government financial aid is equal to 14% of 2019's total airline revenues ($838 billion). The regional variations of the aid dispersion indicate that there are gaps that will need to be filled.

	2019 REVENUES ($ BILLION)	AID PROMISED ($ BILLION)	% OF 2019 REVENUES
Global	$838	$123	14%
North America	$264	$66	25%
Europe	$207	$30	15%
Asia-Pacific	$257	$26	10%
Latin America	$38	$0.3	0.8%
Africa & Middle East	$72	$0.8	1.1%

Source: IATA (https://www.iata.org/en/pressroom/pr/2020-05-26-01/)

Latam Airlines

- Reasons for government support

- Latam Airlines is of strategic importance
  - Important direct employer
  - Additional employment through supplier networks
  - Customer of a great number of suppliers, including local SMEs
  - Catalyst for tourism and trade

- Latam contributes to a non-trivial fraction of Chile's GDP
  - In good times contributes with significant tax payments

- Finance minister's claim: State would help the company not shareholders

- Reasons against government support

- Helping large companies was a policy with little public support
  - In October 2019, Chile went through an episode of social unrest. One of the factors contributing to the protest seems to have been a generalized feeling of abuse by large corporations
  - The current President of Chile owned a 20% stake of Latam 10 years ago → a bailout today would be help to former partners of the president.

- Governments typically require firms to maintain jobs in exchange for support. However, Latam's restructuring plan includes massive layoffs.

- Government support to international companies may end up being collected by foreign operations

- Chile Fiscal Capacity

	Country				
Fiscal indicators 2020	Chile	Brazil	Cololmbia	Ecuador	Peru
Gross debt % of GDP	32.3	98.2	57.8	63.0	36.5
Net debt % of GDP	12.8	62.8	46.2	No data.	18.7
Expenditure % of GDP	27.8	39.9	30.9	37.2	25.3
Revenue % of GDP	21.5	30.5	28.5	30.1	18.2

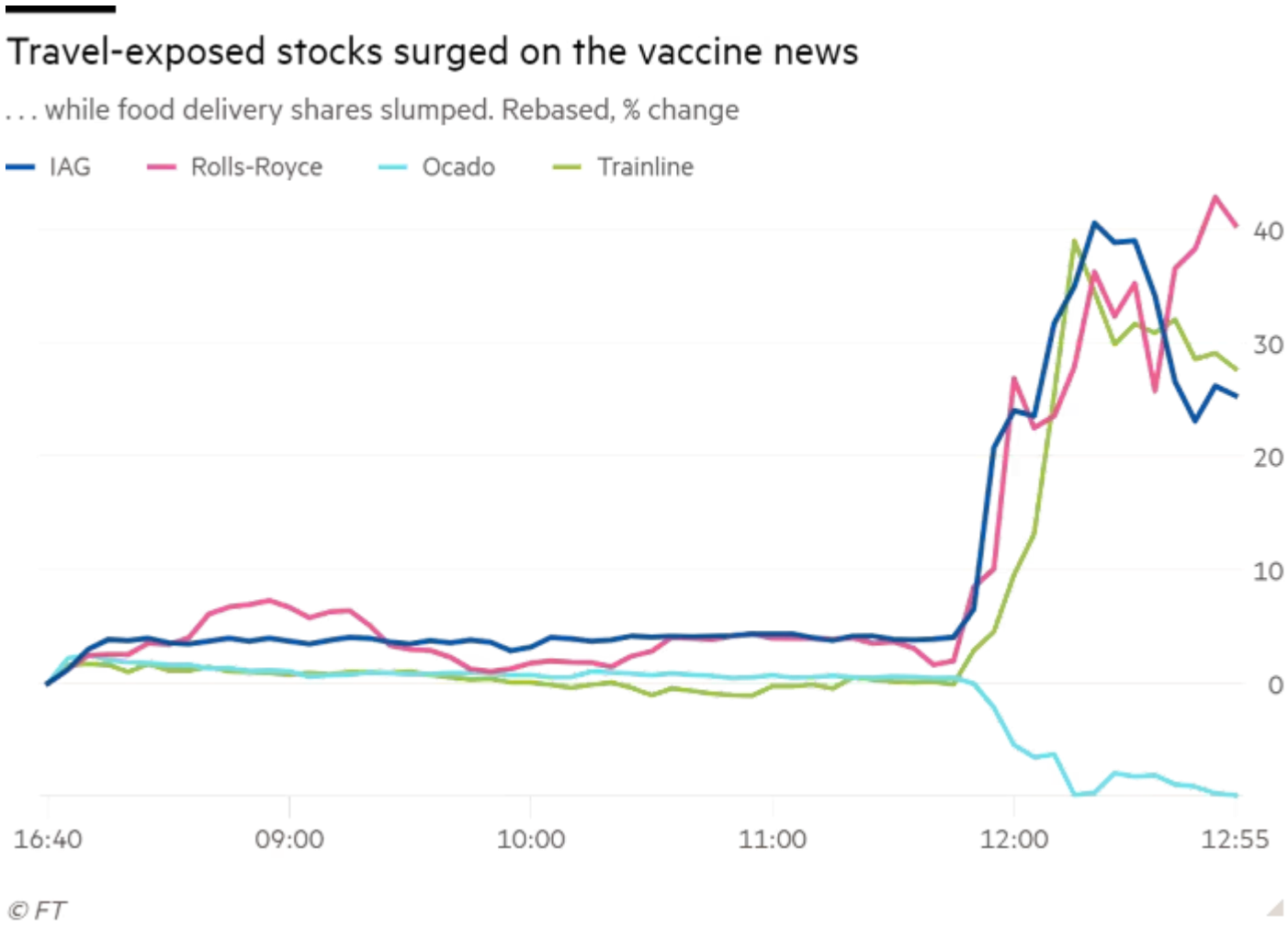
Latam Airlines

- What Happened?
- By September 2020 there was enough appetite for Latam's DIP financing that a government intervention was not needed.
- Brazilian subsidiary was included in the Chapter 11 filing in the US.• Latam sent the DIP proposal to the NYC court
- In response, a group of creditors claimed that the DIP proposal was favourable to the current majority shareholders who invested in tranche C of the DIP (Cueto and Amaro families, Qatar), but detrimental to creditors and other minority shareholders.
- As a result, the company prepared and delivered a new DIP proposal(without the equity conversion option for tranche C).

Latam Airlines

- The new proposal was eventually approved.
- Tranche A valued up to USD1.3 billion led by Oaktree Capital Management which committed USD1.1 billion and Knighthead Capital with USD175 million
- Tranche C considers an amount of up to US$ 1,150 million, which is composed by US$ 750 million committed by Qatar Airways and the Cueto and Eblen Groups, and US$ 250 million which will be contributed by Knighthead Capital, along with the US$ 150 million that will be committed by the fund administered by Toesca S.A AdministradoraG eneral de Fondos
- Pfizer announced positive vaccine trial on November 9, 2020, with airline stocks reacting positively.

Latam Airlines



Latam Airlines

- Santiago-based Latam Airlines is the region's largest air carrier. AfterCovid-19 travel restrictions crushed revenues, the company filed for bankruptcy in New York last May. Its bonds fell as low as 16 cents on the dollar, and the stock tanked as well on the assumption that shares would be worthless during the Chapter 11 process.

- Debt securities tied to Latam have rallied in recent months, with bonds issued by its finance arm trading for more than 90 cents on the dollar. Unsecured claims -- low-ranking debts owed to parties like vendors and aircraft lessors -- are changing hands for more than 70 cents on the dollar from less than 50 cents last month, according to claims market participants.

Source: "Latam Airlines Shareholders Channel Hertz in Bankruptcy Rebound", May 20, 2021,Bloomberg.com.

Latam Airlines

- In the wake of the pandemic, several foreign airlines have relied on chapter 11 protection in the US to restructure in lieu of local insolvency laws

- Chapter 11 provides useful tools that may not be available, or as tested, in other insolvency regimes, and which may be of particular interest to airlines in financial distress.

- Eligibility: The jurisdictional requirements for chapter 11 are easily satisfied. A company may file chapter 11 as long as it owns some property in the US.

- Unlike many Latin American insolvency regimes, a voluntary chapter 11 filing does not require that the company be insolvent, but only that the company be experiencing financial distress

Latam Airlines

- Many multinationals (and other big firms) have complex group structures

- Reasons: tax and regulatory needs to have separate corporations for national, regional, or industry groups, or for financial contracting reasons

- In large firms, these various corporate entities are typically not economically entirely separate. If you try to resolve insolvency in one entity at a time, you run into problems on both sides of the balance sheet, such as:
  - Joint assets with unclear ownership (e.g., brands, or other intangibles)
  - Guarantees and other within-group connections.
  - Synergies: even if legal ownership of all assets is distinct, and there are no guarantees, in many cases the assets would work best together

Latam Airlines

- So, a joint process is very good in theory.
- But outside the U.S., you cannot typically have group procedures
- Sometimes a "parallel" process may be allowed, or separate filings in the same local court (in many European countries, even this is not possible)
- Hence, multinationals often utilize US bankruptcy system